

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

SAMSUNG ELECTRONICS AMERICA, INC., *Complainant*

v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL
(EUROPE) LIMITED., *Respondents and Third-Party
Complainants*

v.

SAMSUNG ELECTRONICS COMPANY, LTD., *Third-Party
Respondent.*

DOCKET NO. 24-17

Served: March 31, 2025

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge.*

ORDER GRANTING COMPLAINANT’S MOTION TO DISMISS RESPONDENT’S COUNTERCLAIM

I. Background

On December 12, 2024, Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively “OOCL”) filed their Verified Answer, Dkt. 19, to Samsung Electronics America, Inc.’s (“SEA”) Complaint, Dkt. 1. The Verified Answer includes a counterclaim against SEA, alleging a violation of 46 U.S.C. § 41102(a), which prohibits a person from “knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.” OOCL does not allege that SEA has obtained ocean transportation at less-than-applicable rates, but that this action before the Commission (and similar actions filed by SEA against other carriers), is an attempt to do so. Answer, p. 27.

On January 6, 2025, SEA filed a Motion to Dismiss Respondents’ Counterclaim, Dkt. 24, arguing that OOCL fails to allege knowing and willful conduct; that OOCL fails to plead particularized allegations of fraud, which SEA argues is essential to a claim under 46 U.S.C. § 41102(a); that OOCL fails to allege that SEA attempted to obtain ocean transportation; that a proceeding before the Commission cannot, as a matter of law, constitute a violation of § 41102(a); and that OOCL’s counterclaim violates the *Noerr-Pennington* doctrine. On January

21, 2025, OOCL filed its opposition, Dkt. 29. The opposition argues that OOCL has pleaded sufficient facts because SEA's bad faith can be inferred from its failure to engage in OOCL's dispute-resolution process, that SEA is bound by the terms of the applicable service contract, and that it is not this proceeding that violates §41102(a), but the conduct leading up to it. OOCL also seeks leave to amend its counterclaim in the event that SEA's motion is granted. On January 28, 2025, SEA filed its reply, Dkt. 30.

II. Discussion

A. Motion to Dismiss Standard

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions to dismiss, Rule 12 states that the Federal Rules of Civil Procedure ("FRCP") will be followed in instances that are not covered by the Rules, to the extent that application of the FRCP is consistent with sound administrative practice. 46 C.F.R. § 502.12. SEA's argument that OOCL has failed to state a claim is governed by FRCP 12(b)(6), under which the Commission applies the "plausibility" standard adopted by the Supreme Court in *Twombly* and *Iqbal*. Under this standard, the Commission will dismiss a claim if the complainant fails to plead "enough facts to state a claim for relief that is plausible on its face." *Maher Terminals, LLC v. the Port Auth. of New York and New Jersey*, Docket No. 12-02, 2015 WL 9426189, at *12 (FMC Dec. 18, 2015) (quoting *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007)). Facial plausibility requires factual content that allows a court "to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Id.* (quoting *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009)). The factual content includes the facts alleged in the complaint, documents attached to or incorporated by reference in the complaint, and matters subject to official notice (including judicially noticeable facts and "technical or scientific facts within the general knowledge of the Commission"). *Id.* at *41 n.1 (citing *Farah v. Esquire Magazine*, 736 F.3d 528, 534 (D.C. Cir. 2013); *Chambers v. Time Warner, Inc.*, 282 F.3d 147, 153 (2d Cir. 2002); 46 C.F.R. § 502.226(a)).

To allow the necessary inferences to be reasonably drawn, the complaint's factual allegations must be more than speculative, and must "nudge claims across the line from conceivable to plausible." *Id.* at *12 (quoting *Elemary v. Holtzmann*, 533 F. Supp. 2d 116, 130 (D.D.C. 2008)). The plausibility standard is not a probability requirement – while actual proof of the alleged facts may be improbable, and recovery may seem remote and unlikely, the standard does not require the pleading of specific evidence or extra facts beyond what is needed to make the claim plausible. *Id.*

While this standard does not require detailed factual allegations, it does require more than labels, conclusions, or a formulaic recitation of the elements of a cause of action. *Id.* The Commission need not accept as true legal conclusions or draw inferences that are not supported by the allegations. *Id.* Legal conclusions can provide the framework of the complaint, but they must be supported by factual allegations. *Id.* at *13. The factual allegations needed to reach plausibility will vary depending on the complexity of the case and require the presiding officer to draw on judicial experience and common sense. *Id.*

B. Pleading fraud with particularity

SEA argues that the heightened pleading standard of FRCP 9(b) applies to claims under 46 U.S.C. § 41102(a). Mot. to Dismiss 4, 7-8. OOCL argues that it is not pleading fraud, and that the Commission has not applied FRCP 9(b) in the context of 46 U.S.C. § 41102(a). Opp'n to Mot. to Dismiss 8-9. The rule provides:

(b) Fraud or Mistake; Conditions of Mind. In alleging fraud or mistake, a party must state with particularity the circumstances constituting fraud or mistake. Malice, intent, knowledge, and other conditions of a person's mind may be alleged generally.

FRCP 9(b). The circumstances that must be stated with particularity are “matters such as the ‘time, place, and contents of the *false* representations,’ such representations being the *element* of fraud about which the rule is chiefly concerned.” *U.S. ex rel. Totten v. Bombardier Corp.*, 286 F.3d 542, 552 (D.C. Cir. 2002) (emphases in original) (*quoting* 5 Wright & Miller, Federal Practice and Procedure § 1297 (2d ed. 1990)).

Section 41102(a) states that a “person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification . . . or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.” 46 U.S.C. § 41102(a). Proving a § 41102(a) claim requires three elements: (1) knowing and willful conduct; (2) through which, either “directly or indirectly,” by means of the actions enumerated in the statute or through “any other unjust or unfair device or means;” (3) respondent obtained or attempted to obtain ocean transportation at lesser rates. *Rana v. Franklin*, Docket No. 19-03, 5 F.M.C.2d 7, 2022 WL 1744905, at *7 (FMC May 25, 2022). The second element is established if the respondent used false billing or misclassification, or any other “unjust device or means” to obtain ocean transportation at less than otherwise applicable rates. *Id.* at *8. Here, there are no allegations that SEA engaged in false billing, misclassification of cargo, or any other conduct specifically prohibited by § 41102(a), so the question is whether SEA’s actions may be considered any “other unjust or unfair device or means” within the meaning of § 41102(a). It is in answering this question that FRCP 9(b) comes into play:

[F]raud or concealment is a necessary ingredient in the proof of an unjust or unfair device or means . . . It is such fraud or concealment that in fact makes the practice unjust or unfair. Whether an act constitutes an unfair or unjust device . . . depends on its similarity to false billing, false classification or the other prohibited conduct.

Id. at *8 (*quoting* *U.S. v. Open Bulk Containers*, 727 F.2d 1061, 1064 (11th Cir. 1984) (citations omitted). If fraud or concealment is a “necessary ingredient” of an “other unjust or unfair device or means” then it may be appropriate to apply the heightened pleading requirement of FRCP 9(b) in cases where complainant is seeking recovery for conduct not specifically enumerated in § 41102(a), as is the case here. *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Docket No. 09-01, 2011 WL 7144008, at *38 (FMC Aug. 1, 2011) (Khouri, Comm’r, concurring in part,

dissenting in part) (“Going beyond the correct formulation of FRCP 8(a) pleading standards as discussed above, I further find that where Section 10(a)(1)¹ requires a showing of ‘fraud or concealment,’ as expressly required by *Rose International, Inc. v. Overseas Moving Network International, Ltd., et al*, [Docket No. 96-05, 29 S.R.R. 119, 2001 WL 865708 (FMC 2001)], such matter must be plead[ed] with sufficient particularity in conformity with FRCP 9(b).”). But for the reasons stated below, OOCL’s counterclaim fails as a matter of law regardless of the particularity of its pleading, and so there is no need to decide this issue.

C. A proceeding before the Commission as a violation of 46 U.S.C. § 41102(a)

In response to SEA’s motion, OOCL argues that SEA is attempting to “get the benefit of the service contract to which it agreed without paying the agreed upon price, much like a cargo owner canceling the check for a freight payment after the shipment has been delivered.” Opp’n to Mot. to Dismiss 8. But this scenario is completely different from what OOCL actually alleges in its counterclaim. Where the shipper cancels the check, it has – surreptitiously and without justification – withheld payment that is due for the carrier’s services. In this case, SEA has not withheld any payment – it asserts that it has paid the disputed detention and demurrage charges to OOCL, which OOCL concedes. *See* Opp’n to Mot. to Dismiss 10 (“SEA paid the individual charges, without objection...”). Nor is there any concealment on the part of SEA in this scenario. It has raised its claims for reparations related to the detention and demurrage charges before the Commission, which is the proper and exclusive forum for raising claims that arise under the Shipping Act. *Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000). And unlike the hypothetical shipper canceling a check without justification, SEA has raised claims which have withstood OOCL’s motion to dismiss and so are, facially, a legitimate dispute regarding OOCL’s practices related to those charges. Order Partially Granting Mot. to Dismiss 3-7, 13-17, Dkt. 16.

OOCL argues that its counterclaim is not based on the theory that SEA’s complaint in this proceeding is the unjust or unfair device or means. Opp’n to Mot. to Dismiss 12. But that is exactly what the counterclaim alleges:

41. In this proceeding, and in other proceedings before the Federal Maritime Commission, commenced by SEA against other ocean carriers, ***SEA is attempting to recoup the demurrage, detention and other costs*** that have been rightfully charged to and incurred by SEA, from entities that were not legally responsible for the charges SEA incurred to its own fault, acts and omissions.

42. In demanding refunds of charges imposed pursuant to the terms of the Service Contracts, and in demanding that OOCL waive future lawful charges, and ***in bringing legal proceedings against OOCL and other ocean carriers in an attempt to seek recovery of demurrage, detention and other charges*** which have been properly assessed to SEA by virtue of its own acts and omissions, ***SEA has knowingly and willfully engaged in a unjust or unfair device or means*** to obtain

¹ Section 10(a)(1) is now 46 U.S.C. § 41102(a).

or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply, all in violation of 46 U.S.C. § 41102(a) of the Shipping Act.

Counterclaim ¶¶ 41-42, Dkt. 19 (emphases added). The other actions OOCL complains of are irrelevant. Showing SEA was deceitful or dishonest in some respect unrelated to obtaining or attempting to obtain lower rates is not sufficient; fraud or concealment must be the means by which SEA obtained or tried to obtain lower rates. *Rana*, 2022 WL 1744905, at *8. Even if it is true that SEA did not avail itself of OOCL's dispute-resolution program or provide supporting documentation when OOCL asked for it, and assuming that was somehow fraudulent, SEA did not and could not recoup the costs it has paid to OOCL through those actions. The only means by which SEA can recover its costs is this proceeding. OOCL cites no authority for the unlikely proposition that a facially valid complaint to recover alleged overcharges (in a Shipping Act case or otherwise) constitutes fraud. As a matter of law, OOCL's allegations cannot establish the second element of a § 41102(a) claim.

The third element of the claim cannot be established either. If OOCL is ultimately found in this proceeding to have violated the Shipping Act, SEA will not have obtained transportation at less-than-applicable rates, but at the appropriate rates. Similarly, if SEA's claims are not found to be meritorious, it will not obtain any reparations for the detention and demurrage fees it has paid, that is, will not have obtained ocean transportation at less-than-applicable rates. There is simply no way, as a matter of law, that a facially legitimate dispute before the Commission can result in a complainant obtaining ocean transportation at less than applicable rates for purposes of § 41102(a).

It may well be that OOCL had a reasonable dispute-resolution program, that SEA does not have evidence to back up its claims with respect to individual shipments, or that SEA was responsible for the detention and demurrage charges, as OOCL alleges. But these claims are in the nature of a defense to SEA's complaint – they do not support a claim that a consignee's challenge to a carrier's billing practices under the Shipping Act is itself a violation of the Shipping Act because the carrier believes its practices are lawful, or because the consignee might not ultimately prevail.

Because I find that OOCL's theory cannot, as a matter of law, result in a violation of § 41102(a), there is no need to address the specificity of its pleading under the FRCP 9(b) standard. Similarly, there is no need to address the applicability of the *Noerr-Pennington* doctrine. Mot. to Dismiss 11-12.

D. Leave to amend

OOCL seeks leave to amend in the event SEA's motion to dismiss its counterclaim is granted. Opp'n to Mot. to Dismiss 12-13. Under FRCP 15(a)(1)(B), "a party may amend its pleading once as a matter of course" within 21 days after service of a responsive pleading. After that period, an amended pleading is permitted with the opposing party's written consent or leave of court, which should be freely given when justice so requires. FRCP 15(a)(2). "Denial of leave

to amend therefore constitutes an abuse of discretion unless the court gives sufficient reason, such as futility of amendment, undue delay, bad faith, dilatory motive, undue prejudice, or repeated failure to cure deficiencies by previous amendments.” *Impact Products, LLC v. Yang Ming Marine Transport Corp.*, Docket No. 24-10, 2024 WL 4474515, at *1 (ALJ Oct. 4, 2024) (quoting *Bancoult v. McNamara*, 214 F.R.D. 5, 8 (D.D.C. 2003)) (citations omitted in original).

When a complaint is dismissed for failure to state a claim, leave to amend need not be given if amendment would be futile. *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, Docket No. 14-04, 2014 WL 5824274, at *9 (ALJ Nov. 6, 2014), admin. final Dec. 8, 2014. OOCL’s theory that a complainant may violate 46 U.S.C. §41102(a) by initiating a facially plausible Shipping Act proceeding before the Commission fails to state a claim as a matter of law. It makes no difference how OOCL pleads its counterclaim; the futility of amendment is a sufficient reason to deny leave to amend in this case.

III. ORDER

Upon consideration of the record, the arguments of the parties, and the findings and conclusions set forth above, it is hereby

ORDERED that SEA’s motion to dismiss OOCL’s counterclaim is **GRANTED**; it is further

ORDERED that OOCL’s counterclaim is **DISMISSED WITH PREJUDICE**; it is further

ORDERED that the joint status report described in the Initial Order will be due no later than 15 days following service this order.

ALEX
CHINTELLA

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ALEX CHINTELLA
Date: 2025.03.31
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Alex M. Chintella
Administrative Law Judge